

Private Market Deal Report

PRIVATE EQUITY

Private Equity Research Team

Sean Young

Hunter Schneck

Industry Landscape

Overview: The global Collaborative Work Management (CWM) Solutions market was valued at around \$27.56 billion in 2024 and is projected to grow to \$67.57 billion by 2033. The industry consists of highly concentrated “mega-players”, with 10 vendors accounting for 75-80% of total market revenue.

Capabilities: As of early 2025, 52% of U.S. remote-capable employees work in a hybrid environment, and an additional 26% are exclusively remote, fueling the demand for CWM solutions.

Risks: Since CWM platforms handle a company’s sensitive project data and security is the top risk. 38% of companies face compliance challenges implementing CWM platforms.

Target Profile

Smartsheet is a leading collaborative work management platform that enables enterprises to plan, automate, and scale mission-critical workflows. They utilize AI-powered intelligence to innovate how businesses grow projects and manage portfolios. They also have a subscription-based model driving recurring revenue and consistent cash flows.

They are trusted by over 85% of Fortune 500 companies and had 16.7 million active users as of July 2025.

Target Post Vision

Without the quarterly pressure of public markets, the company is channeling its focus on accelerated long-term product innovation, AI/Automation investment and global enterprise expansion.

Smartsheet’s heavy implementation of AI into internal productivity and customer-facing capabilities is the largest change in operations from this deal. Customer inquiries around complex formula creation — once the company’s top support request — dropped nearly 50% after it introduced a natural language assistant for formulas.

Deal Structure

Overview: Blackstone and Vista Equity Partners acquire Smartsheet for \$8.4B in an all-cash deal, representing \$56.50 in cash per share. The deal was announced on September 24, 2024, and completed on January 22, 2025.

Smartsheet Advisors: Qatalyst Partners acted as exclusive financial advisor to Smartsheet, while Fenwick & West LLP acted as legal counsel

Blackstone and Vista Advisors: Goldman Sachs & Co. LLC and Morgan Stanley & Co. LLC acted as financial advisors, and Kirkland & Ellis LLP and Simpson Thacher & Bartlett LLP acted as legal counsel

Investor Profile

Blackstone is the world’s largest alternative asset manager with over 1 trillion dollars in AUM. They have over 12500+ real estate assets and 250+ portfolio companies. They build strong businesses with lasting value for both institutional and individual investors. Blackstone stock (NYSE: BX) has increased 141.16% in the past 5 years.

Vista Equity Partners is an investment firm that specializes in private equity and private credit for enterprise software and technology-enabled businesses. They have over 100 billion dollars of assets under management and 25 years of experience.

Investment Post Vision

Blackstone and Vista Equity Partners is focused on a long-term, aggressive strategy of accelerated innovation and global expansion. The investors are committed to channeling significant capital toward accelerating Smartsheet’s evolution into an AI-enhanced, mission-critical work management platform.

With Smartsheet’s large enterprise customer base, the investors aim to strengthen security, compliance, governance, and resource management, to encourage deeper adoption across global organizations

Analyst Statement

The partnership combines Blackstone and Vista’s global prominence and specialty in software value creation to derisk the large, long-term investments required for Smartsheet’s ambitious goals in global expansion.

Moreover, Smartsheet’s prominence in the CWM industry, as shown in Gartner Magic Quadrant for Collaborative Work Management, provides the joint investors with a powerful foundation for expansion. Smartsheet is uniquely positioned as a highly scalable, enterprise-grade platform, and a go-to choice for complex workflow. The vision is to use this solid market position to outpace competitors by aggressively investing in AI-powered features and enhancing the security controls needed to win the most sensitive, large-scale contracts worldwide

Figure 1: Magic Quadrant for Collaborative Work Management

